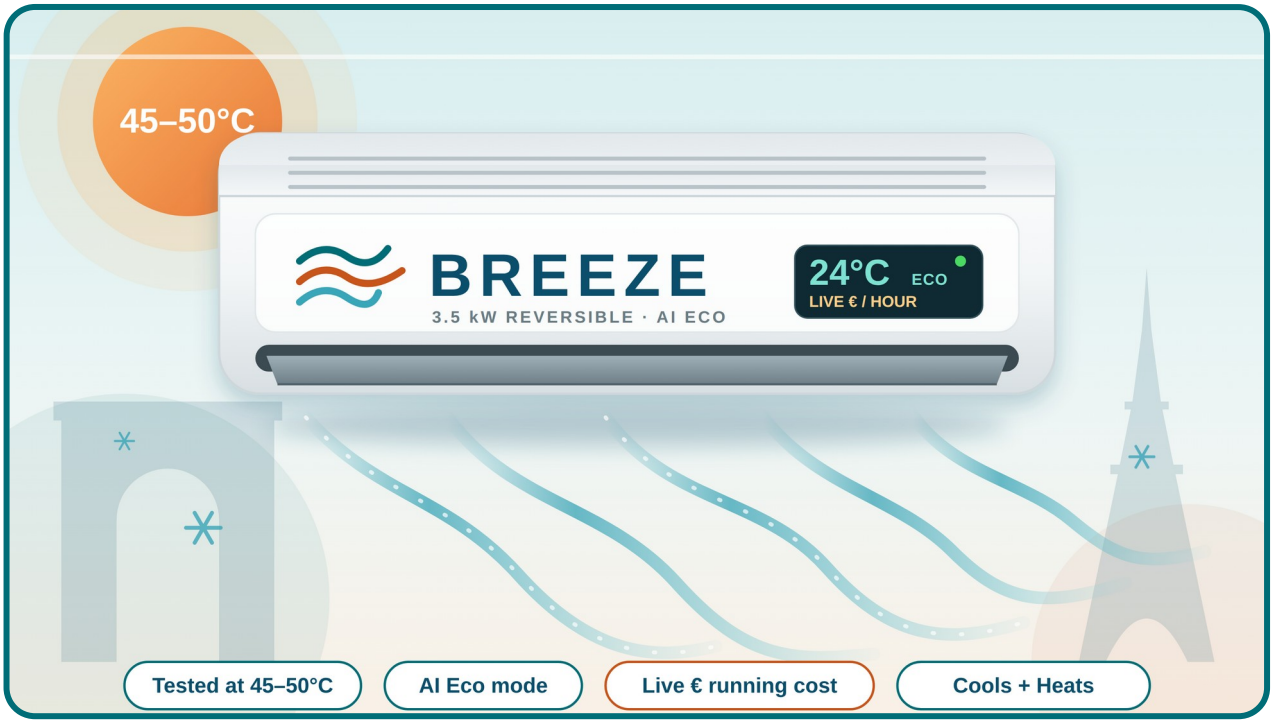
MDI GURGAON
Management Development Institute

INTERNATIONAL BUSINESS AND MARKETING



Breeze in France:

Group International Marketing Strategy Project for Launching an Indian Air Conditioner in the French Market

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1. Executive Summary

France has just lived through its hottest summer since records began in 1900. Météo-France counted 53 days of heatwave across three episodes, far above the previous record of 33 days in 2022, and up to 72 departments were placed on red heat alert in late June (Météo-France, 2026). Yet air conditioning is still unusual in French homes. Between 18% and 26% of dwellings have a system, and only about 13.4% of apartments are equipped (ADEME, 2026a; Hello Watt, 2026). Demand is moving fast: installation requests in May 2026 were four times the level of May 2025 (Proclimo, 2026).

Acting as international marketing consultants, our team recommends launching **Breeze**, an Indian-engineered reversible split air conditioner, into this gap. Breeze is built around one hero product, a 3.5 kW reversible monosplit that cools in summer and heats as an air-to-air heat pump in winter. Its selling idea combines three things French buyers rarely find together at a mid-range price: cooling proven in 45–50°C Indian summers, an AI Eco mode that cuts wasted energy, and a live display that shows running cost in euros.

We recommend a staged, low-commitment entry. Breeze should export finished units and sell them through France's two large DIY chains, Leroy Merlin and Brico Dépôt, with installation handled by FranceCare, a partner network of RGE-certified local installers. The installed price of **€1,990** places Breeze at the lower edge of the entry band of Daikin and Mitsubishi Electric, while offering features those brands reserve for models costing €2,700 and above. A six-month pilot in Lyon and Bordeaux (April–September 2027) should come before any national rollout.

The biggest risk is trust. France scores 86 on Hofstede's uncertainty avoidance dimension, so an unknown Indian brand priced below the leaders may read as "cheap" rather than "smart." A second risk, which our early work underplayed, is installer capacity: France has roughly 18,000 certified refrigeration technicians for about 900,000 new installations a year (Proclimo, 2026). Our plan handles both through local warranty signals, seeded creator reviews, in-store demo units and installer capacity secured before launch. The primary success measure is the share of in-store demo visitors who buy within 30 days, with a target of at least 18%.

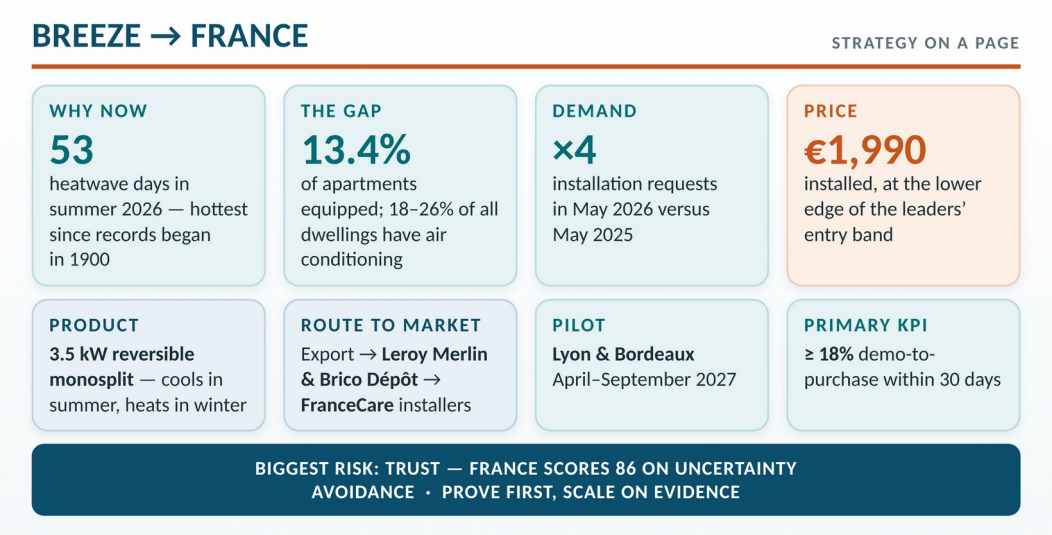


Figure 1: *Breeze Strategy on a Page*

2. Company and Product Overview

2.1 The Indian Company

Breeze is the consumer brand our team has developed for an Indian room air-conditioner manufacturer. It comes from an industry that has had to solve extreme heat at scale. In much of north and central India, units run through pre-monsoon peaks of 45°C and above, so high-ambient compressor performance is a basic requirement at home rather than a premium feature. The Indian government has also backed local manufacturing of air-conditioner components through its Production Linked Incentive scheme for white goods, approved in 2021 with an outlay of ₹6,238 crore (Press Information Bureau [PIB], 2021). This gives an Indian producer a competitive cost base and a deepening local supply chain for compressors, heat exchangers and controllers. Breeze does not exist in France today, which meets the brief's condition that the product must be new to the French market.



Figure 2: *Breeze Brand Concept Visual Showing the Target Customer in a Lyon Apartment*

2.2 The Product

For France, the range is cut down to a single hero SKU: a 3.5 kW reversible wall-mounted monosplit, sized for the main living space of a typical city apartment. It uses R-32 refrigerant and will carry CE marking and the EU energy label. Four features define it. The first is **extreme-heat performance**, with cooling engineered and tested for 45–50°C ambient conditions. The second is **AI Eco mode**, which learns usage patterns and weather to reduce unnecessary consumption in both cooling and heating. The third is a **live energy-cost display** that shows estimated spending in euros per hour and per month on the indoor unit and in the app. The fourth is **SleepSense**, a quiet night mode rated as low as 19 dB. Air-quality filtration and a French-language interface are secondary benefits.



Figure 3: *The Breeze Hero Product and Its Four Defining Features*

3. French Market and Environment Analysis

3.1 Market Size and Demand

Air conditioning in France has moved from a southern luxury to a national issue. ADEME's survey shows the share of equipped households rising from 18% in 2023 to 24% in 2025, with 13% of households cooling only one room (ADEME, 2026a). More than 800,000 split units were sold in 2025, and the grid operator RTE projects that about half of French homes could be air-conditioned by 2035 (FNPR, 2026). Apartments clearly lag houses, as Figure 4 shows, mainly because of co-ownership rules and installation constraints (Hello Watt, 2026). This gap is Breeze's biggest opportunity and also its hardest practical barrier.



Figure 4: *Share of French Homes With Air Conditioning by Dwelling Type, 2025 and 2026*

3.2 PESTEL Analysis

Table 1 summarises the macro-environment. The pattern is clear: climate and consumer demand pull the category forward, while regulation, installer supply and cultural doubts about air conditioning slow it down.

Table 1: PESTEL Analysis of the French Residential Air-Conditioning Market

Factor	Key Finding	Implication for Breeze
Political	India and the EU concluded their free trade agreement in January 2026; formal signing is expected by end-2026, with entry into force in 2027 (Reuters, 2026).	Until then, the EU's 2.7% duty on split units applies; the FTA is upside, not a base-case assumption.
Economic	Energy bills are a live worry: 74% of households restricted heating in 2025 to avoid high bills (ADEME, 2026c).	Running cost, not purchase price alone, is the decision driver.
Social	Air conditioning still carries a "wasteful" image; 61% of equipped households use it only in peak heat (ADEME, 2026b).	Frame Breeze as responsible comfort, not luxury cooling.
Technological	Reversible air-to-air heat pumps are mature, and app control is now expected. Installer supply is short (Proclimo, 2026).	Smart features are table stakes; installation capacity is a real constraint.
Environmental	Record 2026 summer; F-gas Regulation (EU) 2024/573 tightens refrigerant rules (European Parliament and Council, 2024a).	R-32, high efficiency and sensible defaults are necessary.
Legal	CE marking, energy labelling, French-language rules (Loi Toubon), certified refrigerant handling and co-ownership approval for façade units.	Compliance and approval support must be built into the offer.

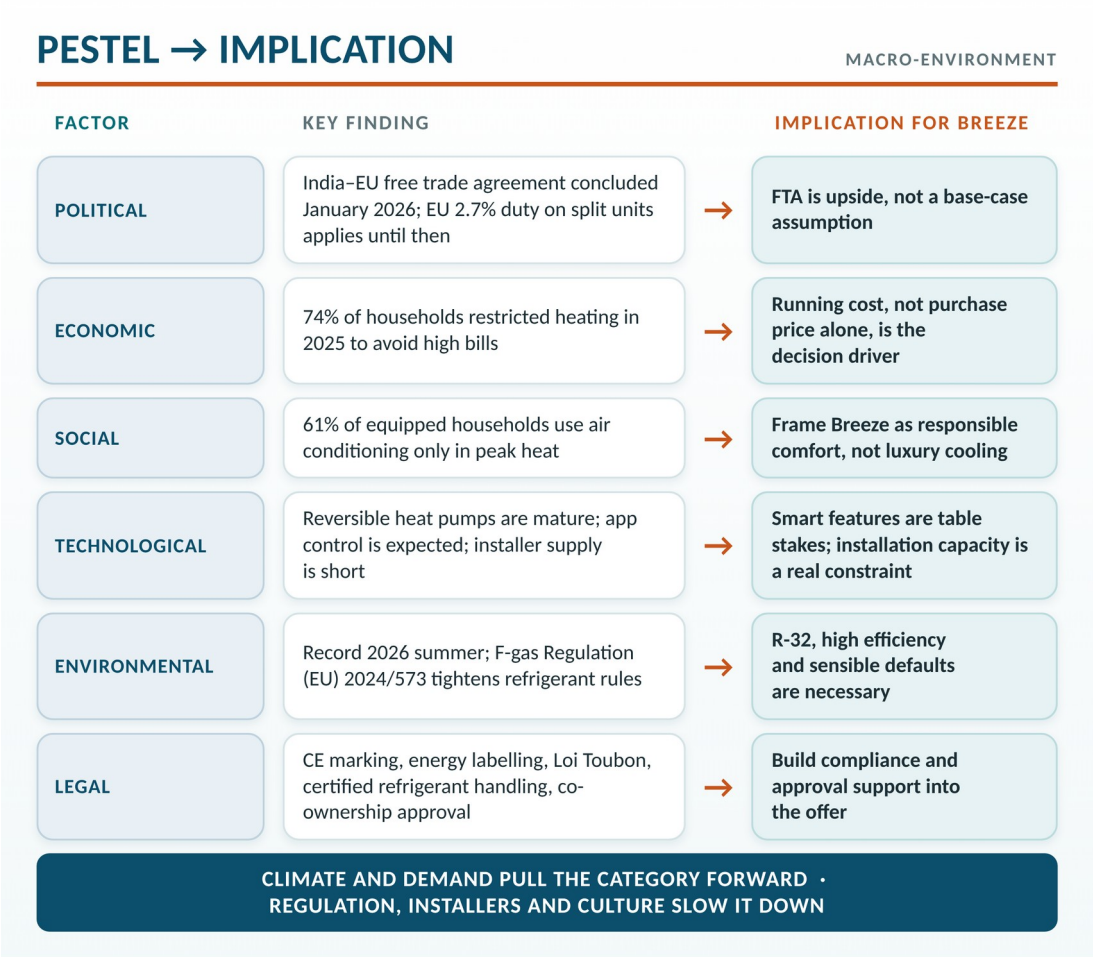


Figure 5: *PESTEL Factors Translated Into Implications for Breeze*

3.3 Industry and Competitive Landscape

The market is crowded at both ends. Japanese brands (Daikin, Mitsubishi Electric, Panasonic and Toshiba) lead on trust and features at higher prices. Korean brands (Samsung and LG) offer good smart features at mid-range prices, and Atlantic brings a French name to the mainstream. Budget brands compete mainly on price. A quick five-forces reading shows why this matters. Rivalry is high. Buyer power is moderate, because consumers compare carefully but still rely on installers. The threat of new entrants is moderate: shipping boxes into France is easy, but building a service reputation is slow. Substitutes such as fans, mobile units and shutters remain common. The most unusual force is supplier power, because certified installers are scarce and can decide which brands they recommend and fit.

3.3.1 Competitor Snapshot

Daikin is the benchmark brand for most French installers, and its Sensira entry model is the unit Claire is most likely to be offered first. Mitsubishi Electric competes on quietness and reliability with its MSZ-HR range. Both brands have spent decades building installer loyalty, which is harder to copy than any product feature. Samsung and LG win on smart-home connectivity but are seen more as electronics brands than as heating and cooling specialists. None of these competitors currently leads with running-cost transparency on the unit itself, and that is the specific gap Breeze aims to own.

Our conclusion is that France is not short of air conditioners. It is short of trusted installation and of a mid-priced unit that feels like a responsible choice. Breeze has to compete on those two points rather than on cooling power alone.

4. Consumer and Cultural Analysis

4.1 Cultural Distance Between India and France

Hofstede's framework helps explain why an Indian brand cannot simply export its home-market pitch. Table 2 compares the two countries.

Table 2: Hofstede Cultural Dimensions: France Compared With India

Dimension	France	India	Marketing Implication
Power distance	68	77	Expert voices (installers, technical reviewers) carry weight in both markets.
Individualism	71	48	French buyers decide for their own household; messages should speak to personal control.
Motivation (masculinity)	43	56	Quality of life and balance persuade better than status or "best in class" claims.
Uncertainty avoidance	86	40	The critical gap: French buyers need proof, guarantees and low-risk trial before buying.
Long-term orientation	63	51	Year-round savings and durability arguments will resonate.
Indulgence	48	26	Comfort is acceptable if it does not look excessive or wasteful.

Note. Scores from Hofstede Insights (n.d.).

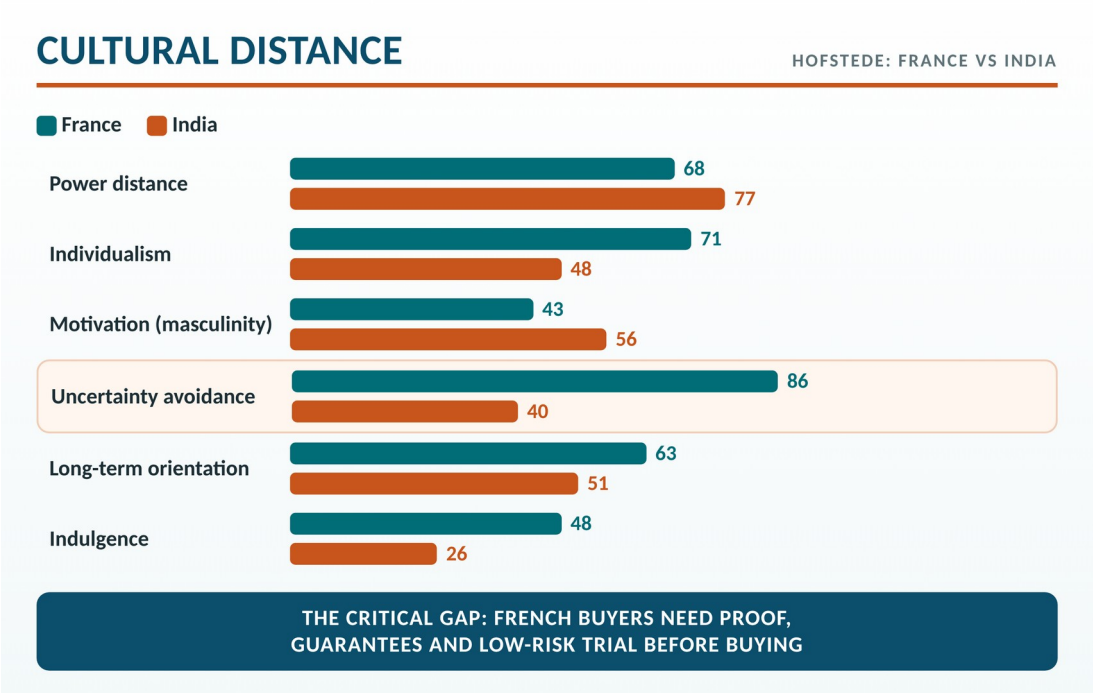


Figure 6: *Hofstede Scores for France and India*

4.2 French Consumer Insights

Three insights shape our strategy. First, the French use air conditioning sparingly. ADEME finds that 79% of users run it during the hottest hours, only at night or very occasionally (ADEME, 2026b). A product that is idle ten months a year is hard to justify, which is why the reversible heat-pump function

matters so much. Second, energy anxiety is strong, so a visible, honest cost figure is more persuasive than an efficiency label alone. Third, buying is research-heavy. In 2025, 51.5% of French online shoppers bought electronics or appliances online (FEVAD, 2026), and our team's journey mapping suggests a four-to-eight-week decision cycle moving from online research to installer validation.

There is also a cultural habit to respect. Many French households have traditionally managed summer heat with closed shutters, night ventilation and thick stone walls, and public messaging since 2022 has promoted energy sobriety. Air conditioning can therefore feel like a small moral compromise. Breeze's communication should never mock these habits. Instead, it should present Breeze as the tool for the days when shutters are no longer enough, which is exactly what the 2026 summer showed.

4.3 Buyer Persona: Claire Martin

Our persona, Claire Martin, is 39, lives in Lyon and works as a professional in a couple with one child. She lives in an apartment she owns or rents long-term, and her household is middle to upper-middle income. She wants to keep her family comfortable in heatwaves and sleep better, but she worries about bills, noise and whether an unfamiliar brand will still have service support in five years. Her line sums up the persona: "I want comfort, but I want to make a smart choice." The core insight is that **Claire is not buying maximum power; she is buying permission to choose comfort without feeling irresponsible.**



Figure 7: *User Persona: Claire Martin, the Responsible Comfort Seeker*

Claire's journey runs from a trigger (a heatwave or poor sleep) through research, comparison, validation, purchase and retention, as Figure 8 shows. The installer and her partner have the most influence, followed by YouTube reviewers and the retailer. This tells us where marketing money should go.

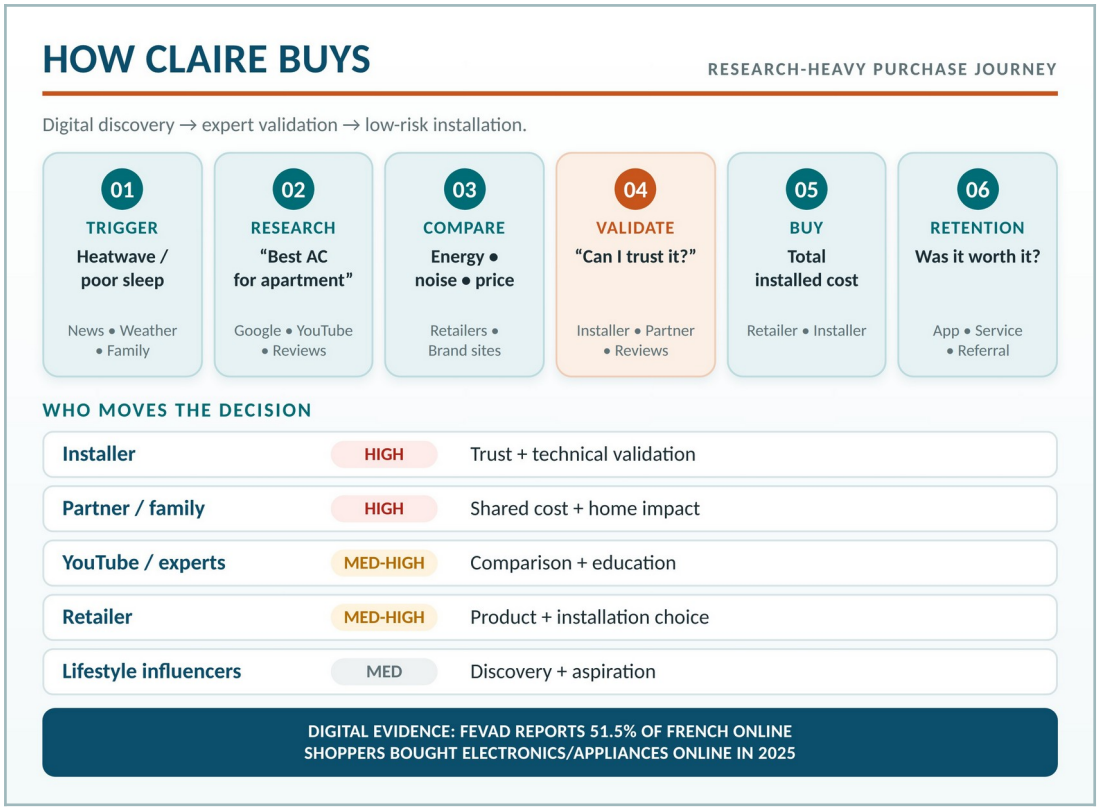


Figure 8: *Claire's Purchase Journey and the People Who Move Her Decision*

5. Evidence Base

We separated facts from assumptions so that management can see what is proven and what the pilot still has to test. Table 3 lists the main claims used in this project.

Table 3: Evidence Base and Confidence Level for Key Claims

Claim	Source	Confidence
53 heatwave days in summer 2026, hottest summer since 1900	Météo-France (2026)	High (official data)
24% of households equipped in 2025; 13.4% of apartments in 2026	ADEME (2026a); Hello Watt (2026)	High / medium (survey range 18–26%)
Installation requests ×4 (May 2026 vs May 2025); about 18,000 certified technicians	Proclimo (2026), citing ClubTravaux	Medium (industry data)
61% use AC only in peak heat; 74% restricted heating in 2025	ADEME (2026b, 2026c)	High
Competitor installed prices of €1,800–2,400	Team retail and installer scan, 2026	Medium
Landed cost of €435–545 per unit	Team cost build-up	Low to medium (estimate)
Positioning-map coordinates; 18% conversion target	Team hypotheses	Low; to be validated in pilot

Before national rollout, the weakest assumptions should be tested through a French consumer survey with a conjoint study on price and features, and through real sales data from the pilot.

6. Market Entry Strategy

We compared five entry modes against four criteria: control over the brand and service experience, capital required, speed to market and risk (Table 4).

Table 4: Comparison of Market Entry Modes for Breeze

Entry Mode	Control	Capital	Speed	Verdict
Direct export through retail partners + installer network	Medium–high	Low	Fast	Recommended for Phase 1
Import distributor or agent	Low	Low	Fast	Weak brand control; trust built by others
Joint venture with a French HVAC firm	Shared	Medium	Medium	Option for Phase 3 if volumes grow
Acquisition of a French brand	High	Very high	Medium	Too costly before demand is proven
Local assembly (FDI)	High	High	Slow	Not justified at pilot volume

Our recommendation is direct export with a B2B2C model. Breeze ships finished units from India, Leroy Merlin and Brico Dépôt sell them in store and online, and FranceCare installers fit and service them. This follows the Uppsala logic of starting with low commitment and increasing it as market knowledge grows (Johanson & Vahlne, 1977). Phase 1 is the Lyon and Bordeaux pilot in 2027. Phase 2, from 2028, extends to the Mediterranean zone and Paris suburbs with an EU spare-parts hub. Phase 3 considers a joint venture or local assembly only if volumes justify it.

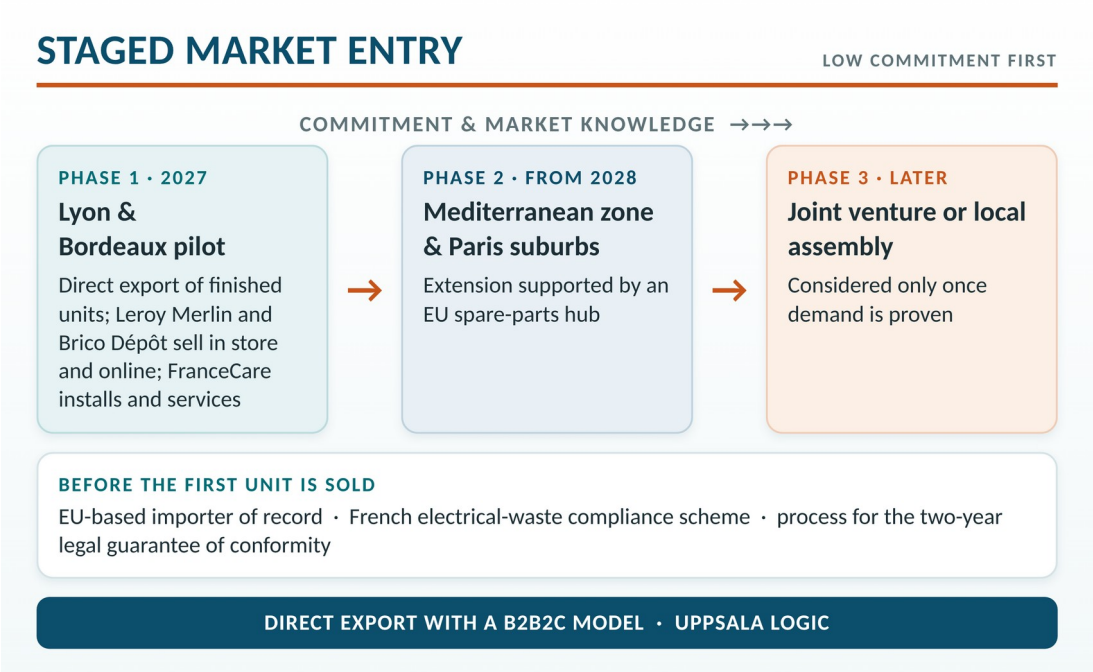


Figure 9: *Staged Market-Entry Pathway for Breeze*

Export entry still carries set-up obligations. Breeze needs an EU-based importer of record to hold the technical file and product liability, registration with a French electrical-waste compliance scheme, and a clear process for the two-year legal guarantee of conformity that French law gives every consumer. These costs are modest but must be in place before the first unit is sold.

We chose Lyon and Bordeaux rather than the Mediterranean south, where penetration is already high and competitors are entrenched. Both cities are growing, suffered badly in 2026, have strong DIY retail coverage and still have many unequipped apartments.

7. Segmentation, Targeting and Positioning

7.1 Segmentation and Target Market

We segmented the market on four variables: dwelling type, ownership status, climate zone and attitude to air conditioning. The attitude variable is the most useful. It separates habitual users in the south, first-time selective adopters in the cities, and people who reject air conditioning on principle.

Our primary target is **urban first-time buyers aged 28–45 in Lyon and Bordeaux, living in apartments of 30–60 m² that they own or rent long-term with landlord consent**, who are energy-conscious and actively researching after back-to-back heatwaves. We added the ownership condition deliberately. A wall-mounted split needs an outdoor unit and drilling, so short-term renters without permission cannot buy, however strong their need.



Figure 10: *Segmentation, Targeting and Positioning Logic*

7.2 Positioning

Following the classic positioning-statement format (Kotler & Keller, 2016), our statement is: *For French households seeking reliable, energy-conscious comfort during hotter summers, Breeze is a smart reversible air conditioner that combines extreme-heat performance, intelligent energy management and premium comfort at an accessible price. Unlike budget units focused only on price and premium specialists commanding a higher price, Breeze pairs premium-like features with local French service and reassurance.*

Figure 11 places Breeze in the white space between value players and premium leaders. The rule we set for ourselves is simple: **Breeze must not become "the cheaper Daikin."** It should be the brand that makes premium comfort easier to justify.

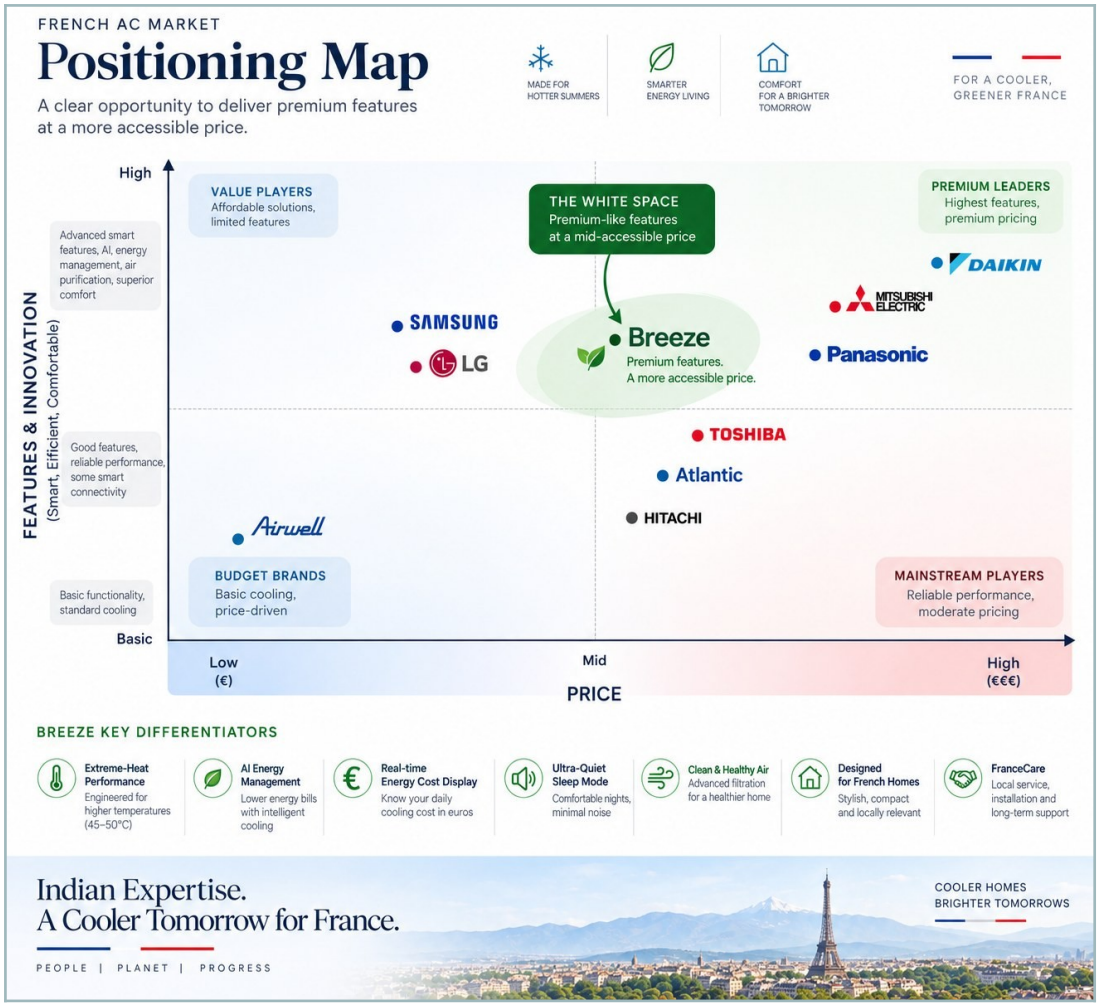


Figure 11: *Perceptual Positioning Map of the French Air-Conditioning Market*

8. Product and Brand Adaptation

8.1 Product Adaptations

The Indian base model needs five changes for France. The heat-pump mode must be tuned for mild French winters so that Breeze earns its place all year. The unit should target a high seasonal efficiency rating on the EU energy label, since French buyers read labels closely. The outdoor unit needs low noise, because neighbours and co-ownership rules often decide whether installation is allowed. The app, display and manuals must be fully in French, both for usability and to comply with the Loi Toubon. Finally, the indoor unit should have a slim, matt-white design that suits French interiors rather than a bulky, glossy look.

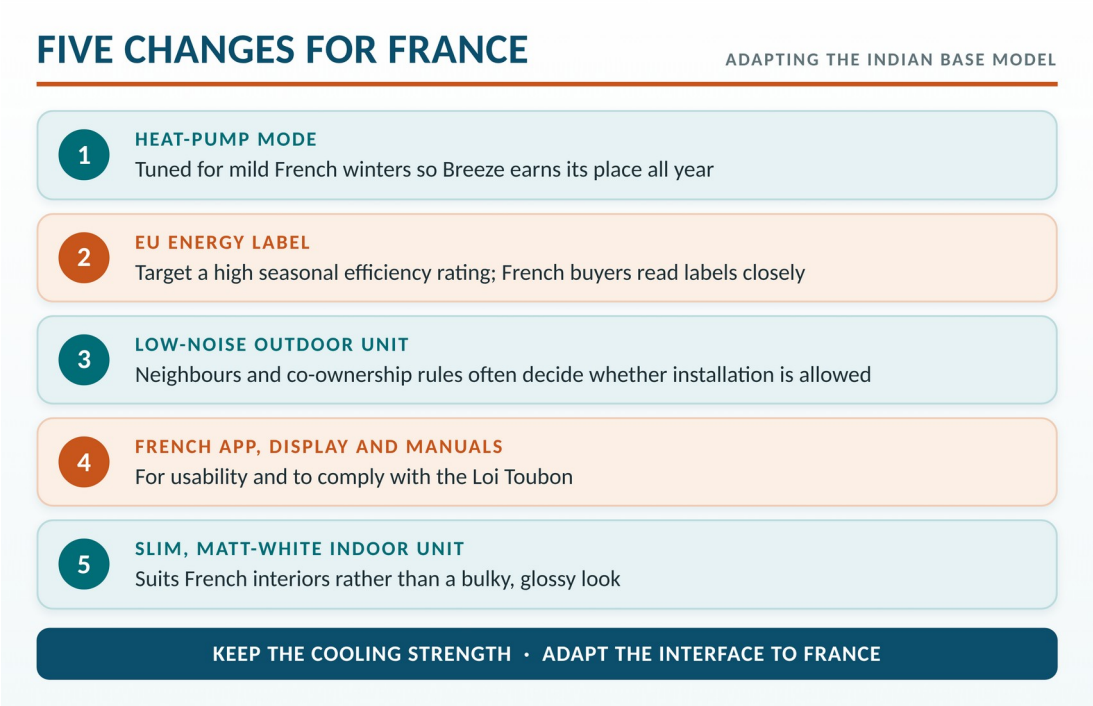


Figure 12: *Five Product Adaptations for the French Market*

8.2 Brand Adaptations

The name "Breeze" is short, positive and easy to say in French, so it can stay. The brand story changes, however. At home, an Indian brand might lead with price or reach; in France, Breeze leads with the FranceCare local warranty and presents India as an engineering credential rather than a national label: "Testé à 50°C." In the team's words, if it handles Delhi in June, it handles Lyon in August. The offer includes a five-year parts-and-labour warranty through FranceCare to reduce perceived risk for a high-uncertainty-avoidance buyer.

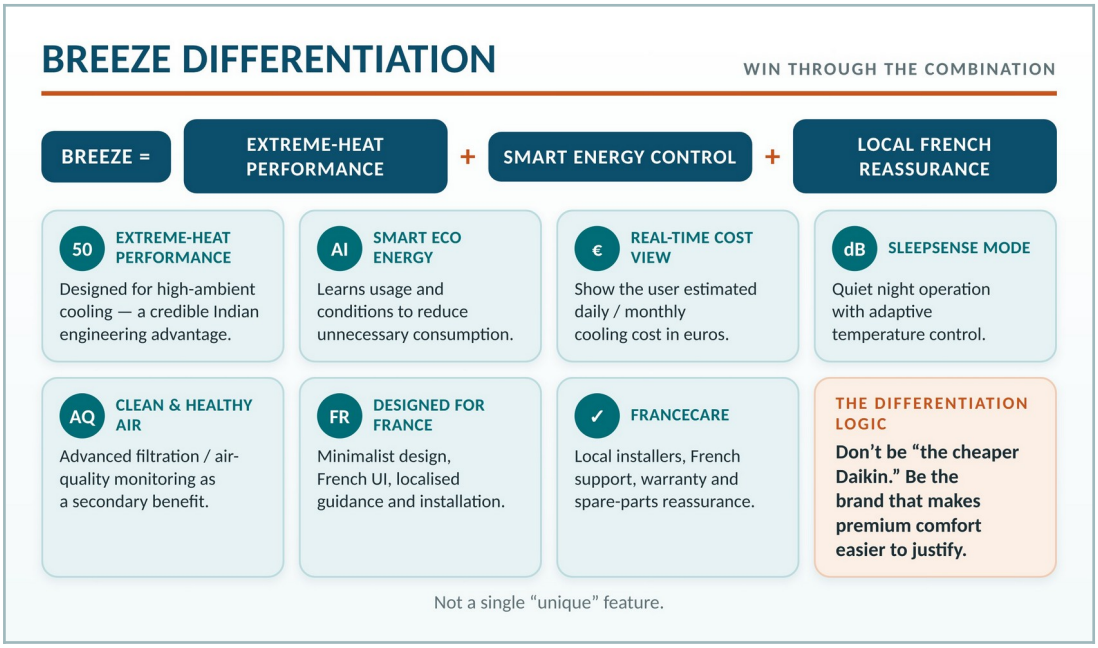


Figure 13: *Breeze Differentiation: Winning Through the Combination of Features*

9. Pricing and Distribution

9.1 Pricing Strategy

We use value-based pricing anchored to the entry tier of the market leaders. At **€1,990 installed**, Breeze sits at the lower edge of the Daikin Sensira and Mitsubishi Electric MSZ-HR band of about €1,800–2,400, while matching features such as AI energy management, a quiet night mode and cost display that rivals mostly keep for models above €2,700 (Figure 14). Against those feature-equivalent models, Breeze is roughly 30% cheaper. Precision matters here: €1,990 falls inside the entry range, not below it, so the honest claim is an entry-level price with premium-level features.

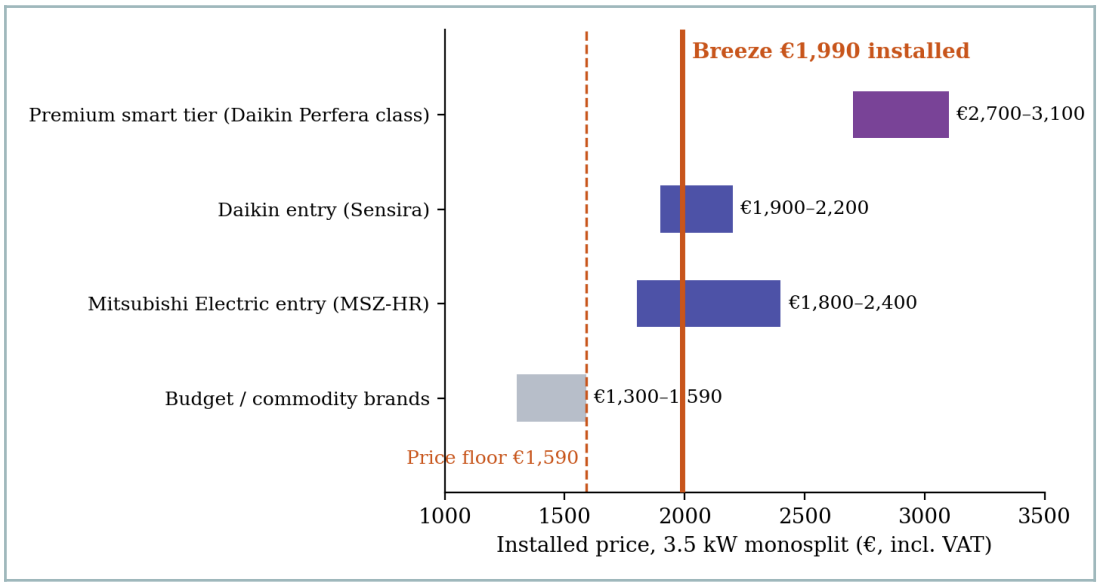


Figure 14: *Installed Price Positioning of Breeze Against Competitor Tiers*

We set a floor price of €1,590. Below that level, Breeze would fall into the commodity tier that Claire associates with unreliable brands, which would weaken trust. The €1,990 figure is also a psychological price point, and it can be offered as ten monthly payments of €199 through the retailers' consumer-credit partners. We will not discount during heatwaves, when demand is strongest and discounts would look opportunistic. Instead, autumn and winter promotions will focus on the heat-pump function, for example a free first-year service visit.

Table 5: Indicative Price Build-Up per Unit

Cost Element	Amount (€)
Ex-factory unit cost in India (indoor + outdoor unit)	380–470
Sea freight, insurance and port handling	35–45
EU import duty (2.7% on CN 8415 10)	11–14
Compliance, French labelling and inland logistics	10–16
Landed cost	**435–545**
Breeze wholesale price to retailer (excl. VAT)	≈ 650
Retail unit price incl. retailer margin of 25–30% and VAT	≈ 1,080
FranceCare installation, commissioning and refrigerant handling (incl. VAT)	≈ 910
Installed price to the consumer	**1,990**

Note. Team estimates. Duty rate from the EU TARIC database (European Commission, n.d.).

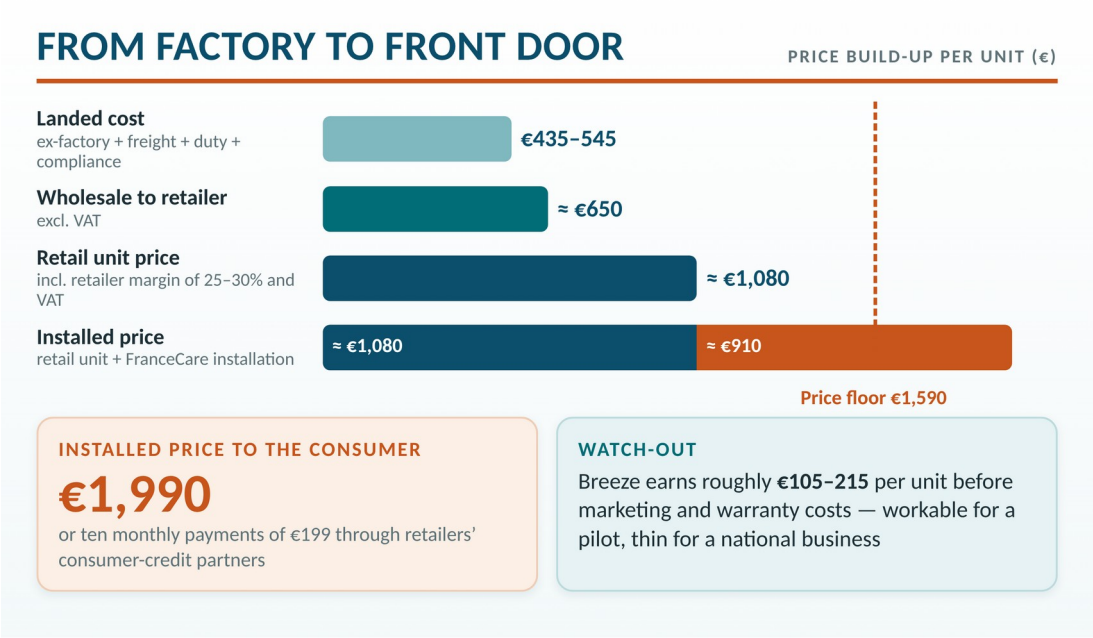


Figure 15: *Indicative Price Build-Up From Landed Cost to Installed Price*

The build-up shows a weakness we should state openly. Breeze earns roughly €105–215 per unit before marketing and warranty costs. That is workable for a pilot but thin for a national business. The main levers are volume, a smaller 2.5 kW second SKU from Phase 2, paid extended warranties and annual service contracts.

9.2 Distribution Strategy

Leroy Merlin gives Breeze reach, showroom space and an existing installation service, while Brico Dépôt reaches more price-conscious DIY shoppers. Both combine online research with in-store purchase, which matches Claire's journey. FranceCare installers must hold RGE status and refrigerant-handling certification, and they commit to installation within ten working days. Given the national installer shortage, we will sign capacity agreements with installer partners before launch and pay a Breeze fitting bonus so that installers want to recommend the brand. The Breeze website will educate and route sales to retailers rather than sell directly, avoiding channel conflict.

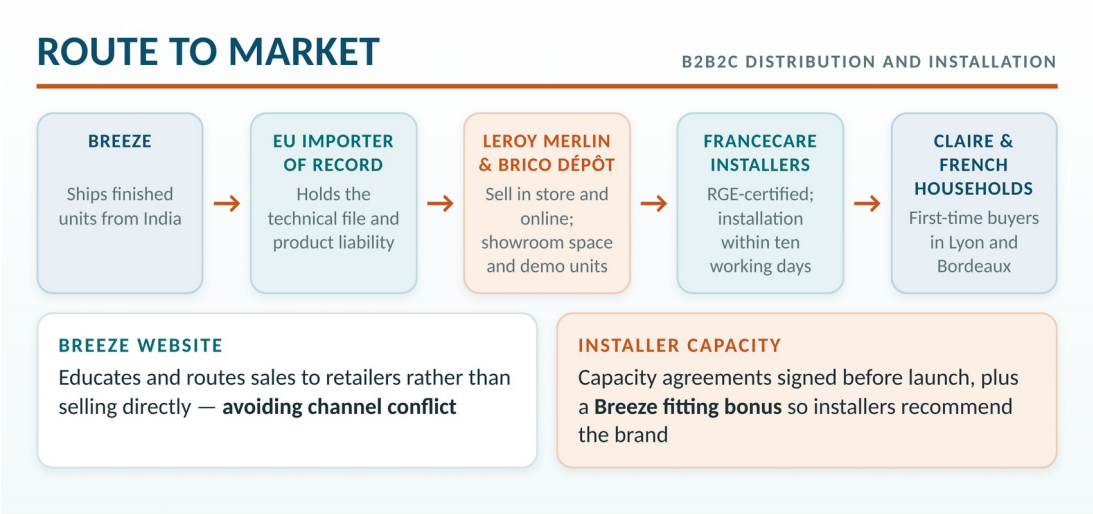


Figure 16: *Route to Market: From Breeze to the French Household*

10. Communication and Digital Launch Strategy

10.1 Core Message

Every activity carries one message: "Powerful when it's 40°. Efficient the rest of the year. And you'll see exactly what you spend, every hour." In French: *« Puissant à 40°. Économe le reste de l'année. Et vous voyez ce que vous dépensez, heure par heure. »* The brand signature is "Breeze: comfort without compromise." The message tackles the trust barrier with three proofs: performance (tested at 50°C), savings (AI Eco) and transparency (the €/hour display).

10.2 Three Core Channels

Each channel has one job in Claire's journey. **Paid social** on Instagram, Facebook and YouTube builds awareness through 15-second reels showing the live cost display during a heatwave, targeted at urban adults aged 28–45 in the pilot cities. Viewers who watch more than half a reel are retargeted with a FranceCare warranty advert. **In-store activation** at Leroy Merlin and Brico Dépôt converts interest into trial: a working demo unit shows real-time temperature, AI Eco status and cost per hour, with a FranceCare adviser present on peak-season Saturdays. **Creator content** builds credibility, as described below.

Behind these three channels sits an always-on digital layer. Search advertising will cover high-intent queries such as "climatisation appartement prix" and "clim réversible silencieuse." The Breeze website will host a running-cost calculator in which Claire enters her city, apartment size and electricity tariff and sees an estimated monthly cost, turning the product's key feature into a digital tool. Short YouTube explainers will answer the questions our persona research surfaced, such as whether an apartment needs co-ownership approval and what a heat pump costs to run in winter.

10.3 Collaborations and Partnerships

Micro-Influencers. We will seed Breeze units with 8–12 French home, eco-living and practical-living creators before summer. Most will be true micro-influencers with 10,000–100,000 followers, whose audiences trust them more, plus two or three mid-tier accounts of up to about 200,000. The brief is to run the unit through a summer, show the energy cost on the display and give an honest opinion. All

posts will carry the commercial-collaboration label required by France's 2023 influencer law (Loi n° 2023-451, 2023).

Retail Co-Marketing. Breeze will co-fund in-aisle displays, catalogue features and heatwave email alerts with Leroy Merlin and Brico Dépôt, which lowers our cost and borrows their trust.

Airline and Airport Collaboration. Breeze's origin story fits the India–France air route. We propose an in-flight video with Air India and Air France on Delhi–Paris flights ("Tested in Delhi's June. Ready for Lyon's August."), plus earning Flying Blue miles on Breeze purchases, subject to negotiation. A sharper local version targets arrivals halls at Lyon-Saint Exupéry and Bordeaux-Mérignac airports in late August, when families return from holiday to hot apartments. Because airline audiences are broad, this stays a small, tested budget line measured through promo-code redemptions.

Housing and Energy Partners. We will offer property managers a "co-ownership approval kit" containing noise data, façade guidance and a template request for residents' meetings, which removes a real barrier for apartment buyers. A partnership with an electricity supplier would let AI Eco schedule pre-cooling in off-peak or solar hours.

10.4 Launch Timeline and Budget

Table 6: Launch Timeline for the Lyon and Bordeaux Pilot

Phase	Timing	Key Actions
0. Preparation	October 2026 – February 2027	Certification, retailer contracts, FranceCare capacity agreements, French app
1. Pre-launch	March – April 2027	Creator seeding, demo units installed, website and chatbot live
2. Launch	May – June 2027	Paid social burst, in-store advisers, airline and airport activity
3. Peak season	July – August 2027	Heatwave-triggered ads, installer lead-time monitoring
4. Heat-pump season and review	September 2027 onward	Winter savings campaign; go/no-go decision on national rollout

We propose an indicative split of the launch budget: 35% paid social, 25% in-store activation, 20% creators, 10% airline and airport activity, and 10% partnerships and PR.

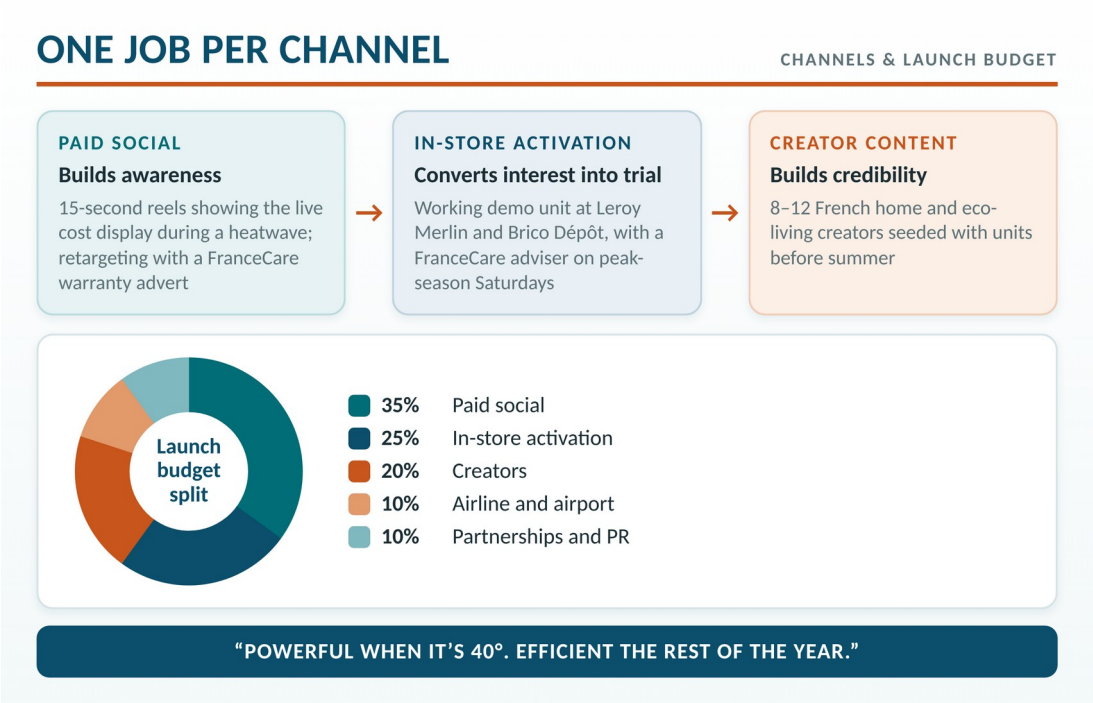


Figure 17: *Communication Channels and Launch Budget Split*

11. AI Integration

AI supports Breeze at three levels. In the **product**, AI Eco mode learns occupancy, room behaviour and weather to cut wasted energy and can shift cooling to cheaper hours. In **marketing**, heatwave forecasts from Météo-France open data trigger higher ad bids when demand spikes, AI tools test ad variations, and a French-language chatbot helps buyers size the unit and understand co-ownership rules. In **operations**, demand forecasting helps retailers hold enough stock through sudden peaks, and predictive-maintenance alerts let FranceCare fix faults before customers notice them.

We will use these tools responsibly. Usage data will be collected only with clear consent under the GDPR and stored in the EU. The chatbot will state that it is an AI and hand complex questions to a human adviser, in line with the transparency duties of the EU AI Act (European Parliament and Council, 2024c). Any savings figure the AI Eco mode displays will be based on tested data rather than best-case estimates.

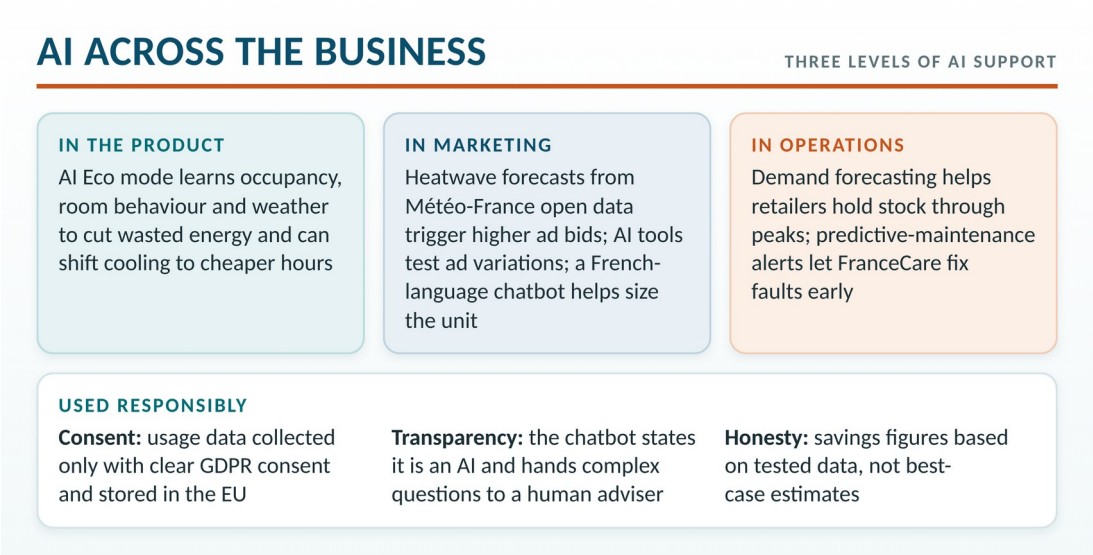


Figure 18: *Three Levels of AI Support and Responsible-Use Commitments*

12. Ethics, Sustainability and Risk Management

12.1 Ethics and Sustainability

Selling air conditioning in a climate crisis carries a paradox: the product eases heat indoors but adds to electricity demand and releases heat outdoors. Breeze responds in four ways. It ships with a default cooling setpoint of 26°C and gentle nudges when users set it lower. It uses R-32, a lower-impact refrigerant, with certified handling under the F-gas rules (European Parliament and Council, 2024a). It offers end-of-life take-back through France's electrical-waste collection scheme. Finally, it avoids vague green claims. EU rules on environmental claims from Directive (EU) 2024/825 now require specific evidence (European Parliament and Council, 2024b), so a claim such as "up to 40% savings compared with a radiator" must be tested before it is used. We will also audit supplier labour conditions in India and be open about where Breeze is made.

12.2 Key Risks and Mitigation

Table 7: Risk Register for the Breeze Launch

Risk	Level	Mitigation
Low brand trust for an unknown Indian brand	**High**	FranceCare warranty badge first; €/hour display as proof; creator reviews; pilot before scaling
Installer shortage and long lead times	**High**	Pre-signed capacity agreements; fitting bonus; 10-day installation target tracked weekly
Co-ownership or landlord refusal	**Medium**	Approval kit; low-noise outdoor unit; target owners and long-term renters
Cool summer reduces demand	**Medium**	Heat-pump positioning for year-round sales; flexible stock orders
Thin unit margin	**Medium**	Service contracts, extended warranty, second SKU in Phase 2
Freight disruption, exchange rates or FTA delay	**Medium**	Base case uses current duty; buffer stock before summer; euro-priced contracts
Price war with budget brands	**Medium**	Hold €1,590 floor; compete on features and service, not discounts

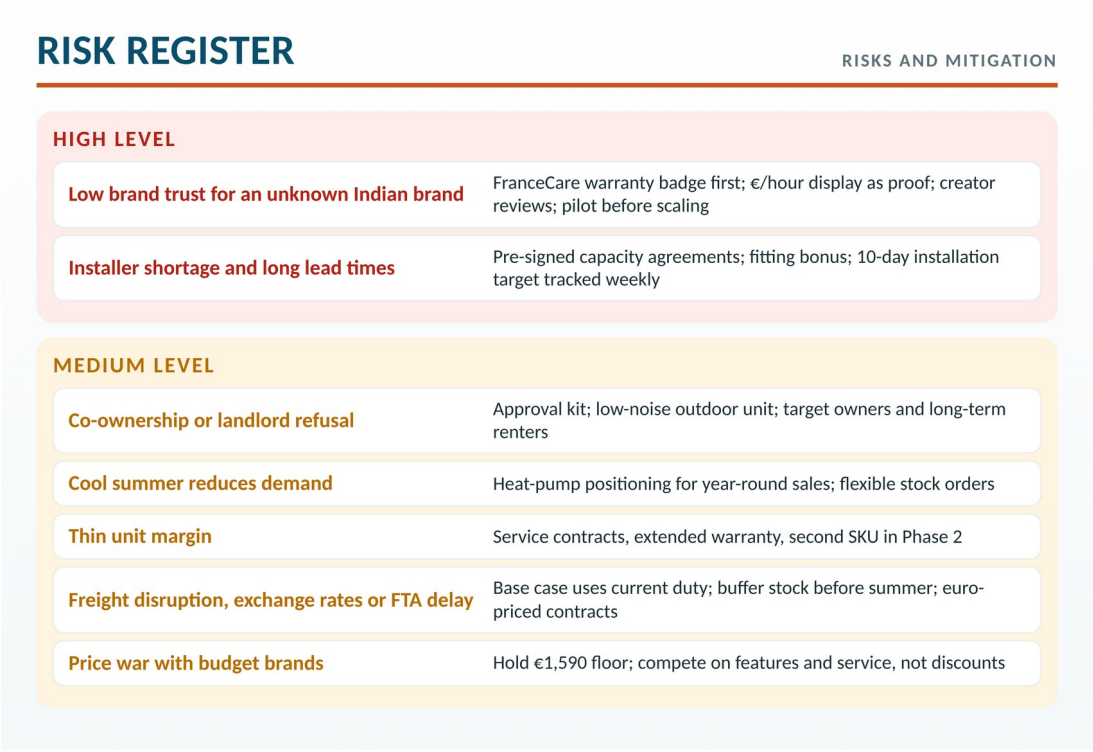


Figure 19: *Launch Risks Grouped by Level, With Mitigation*

13. Key Performance Indicators

Our primary KPI is the **in-store demo-to-purchase conversion rate**: the share of shoppers who interact with a demo unit and buy within 30 days, with a target of at least 18%. We chose it because it measures the moment when the whole chain (advert, creator review and demo) either earns the sale or loses it.

Reach is easy to inflate, and pilot sales volumes depend too much on weather and stock. Table 8 lists supporting KPIs used for diagnosis.

Table 8: Primary and Secondary KPIs

KPI	Target	What It Diagnoses
Demo-to-purchase conversion (primary)	≥ 18% within 30 days	Whether the full communication chain works
Reel completion rate	> 45%	Strength of the awareness message
Creator engagement rate	> 4%	Credibility and earned reach
Installation lead time	≤ 10 working days	Installer capacity
FranceCare installer rating	≥ 4.5 / 5	Service quality and trust
First-year fault or return rate	< 2%	Product reliability
Net Promoter Score after first summer	≥ 40	Word of mouth for national rollout

Measurement has to be practical. Demo interactions will be logged by FranceCare advisers with a simple QR-code check-in, and purchases will be matched through retailer point-of-sale data and the warranty registration form. Social and creator metrics come from platform dashboards, while installation times and ratings come from the FranceCare booking system. Results will be reviewed monthly during the pilot so that weak links can be fixed within the same season.

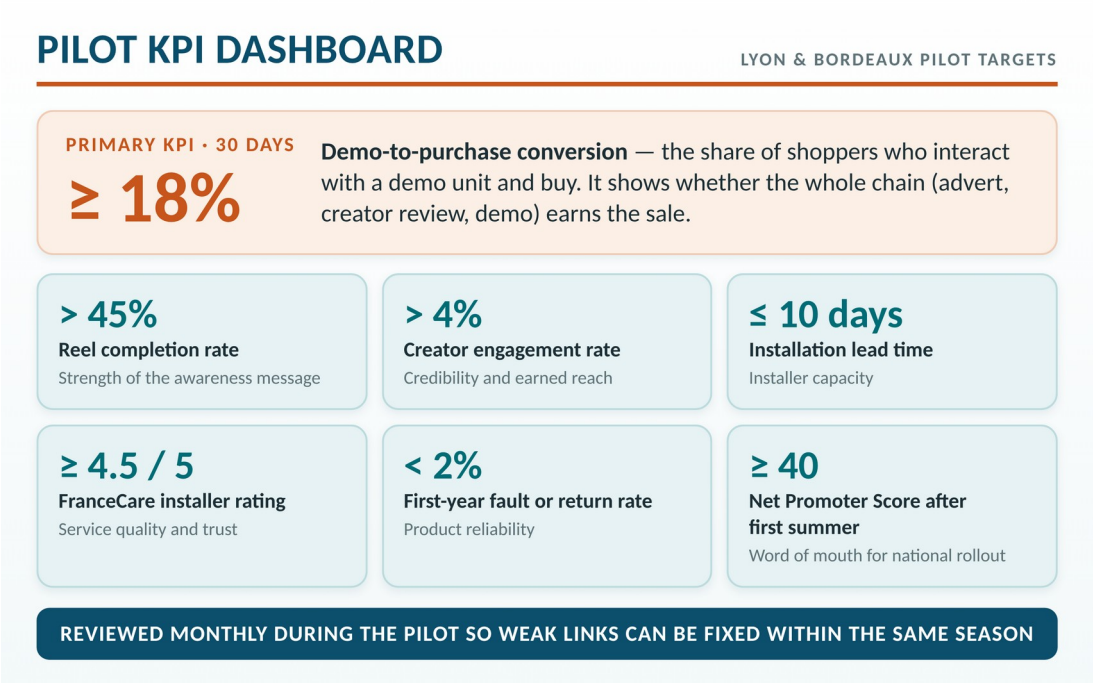


Figure 20: *Pilot KPI Dashboard*

14. Final Strategic Recommendation

We recommend that management approve a two-city pilot of Breeze in Lyon and Bordeaux from April to September 2027. The pilot should use direct export, sales through Leroy Merlin and Brico Dépôt, one 3.5 kW reversible hero SKU priced at €1,990 installed, and installation by the FranceCare network.

Communication should run through paid social, in-store demo units and seeded micro-influencers, supported by retail, airline, housing and energy partnerships.

Two conditions should be attached to approval. First, installer capacity must be contracted before launch, because a great campaign that leads to a six-week installation wait would damage trust faster than any competitor could. Second, a go/no-go review in October 2027 should decide on national rollout using the primary KPI, installer lead times and unit economics. If conversion reaches 18% and installation stays within ten days, Breeze should expand to the Mediterranean zone and Paris suburbs in 2028.

The case for acting now is strong. France has just had its hottest summer on record, most apartments are still unequipped and demand is accelerating. Breeze offers something the market lacks: extreme-heat engineering, year-round efficiency and honest cost transparency at a price a first-time buyer can accept.

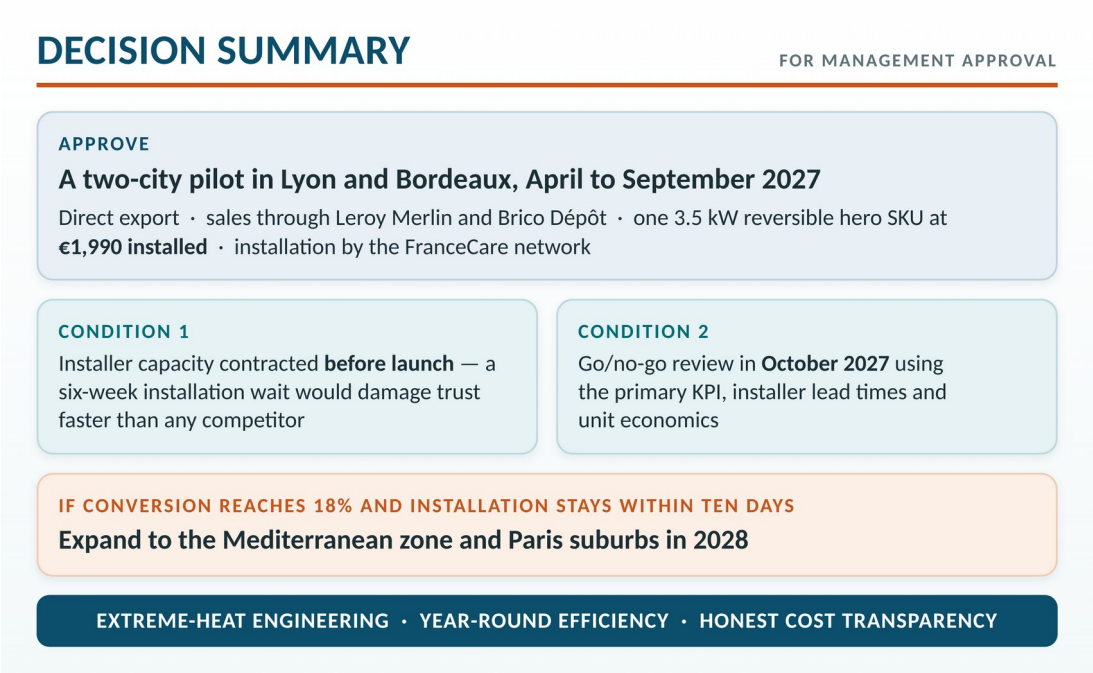


Figure 21: *Decision Summary for Management*

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Appendix: Supporting Slides

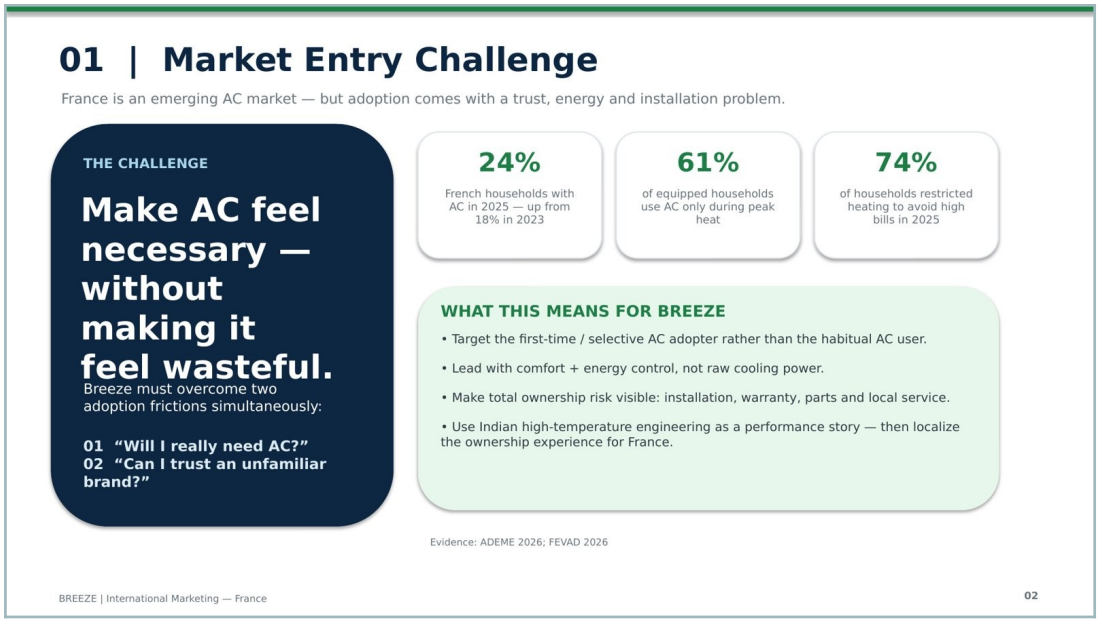


Figure A1: *Supporting Slide: Market Entry Challenge*